Exercises for Session 6 – MADE

Exercise 1

- Please read the article "How Do Consumers Choose in a World of Automated Ordering?" at https://hbr.org/2018/05/how-do-consumers-choose-in-a-world-of-automated-ordering

- In groups of 3-4, please discuss the following:

    1. How does this article relate to what you've learned in this class?
    2. What does this mean for marketers?

Exercise 2

- Please read more about Apple's entry into the vehicle product category at: https://www.irishtimes.com/motors/2022/12/26/is-apples-car-coming-in-2026/

- After reading this article, please conduct a SWOT analysis for Apple cars.

Exercise 3

Read about Starbuck's lawsuit at https://www.reuters.com/legal/starbucks-face-lawsuit-claiming-its-fruit-drinks-are-missing-fruit-2023-09-18/ and discuss how this relates to our class discussion on ethics on marketing. Please focus on the issues noted in the article and discuss how this lawsuit will impact Starbucks' image in today's digital world.

Exercise 4: test your knowledge

1. True or False: Marketing is a social and managerial process by which entities obtain what they need or want by creating and exchanging value with others.

2. _____ are human needs that are shaped by culture and individual personality.
   A) Necessities
   B) Wants
   C) Demands
   D) Values
   E) Exchanges

3. When backed by buying power, wants become _____.
A) social needs
B) demands
C) physical needs
D) self-esteem needs
E) exchanges

4. Venus Williams now has the buying power to purchase an island in the Bahamas that she has wanted for several years. Venus's want is now a(n) _____.
A) need
B) necessity
C) exchange
D) demand
E) transaction

5. A(n) _____ is the set of actual and potential buyers of a product or service.
A) market
B) control group
C) subsidiary
D) focus group
E) audience

6. True or False: Market offerings are limited to physical products.

7. The collection of businesses and products that make up a company is called a _____.

A) cash cow
B) marketing mix
C) market segment
D) business portfolio
E) product line

8. In the BCG matrix approach, high-growth, high-share businesses or products are called _____.

A) market segments.
B) question marks
C) stars
D) dogs
E) cash cows

9. Sunshine, a well-known coffee shop chain in South America, recently opened 500 stores to cater to its rapidly increasing number of patrons. This exemplifies _____.
A) product diversification
B) market skimming
C) market share
D) market penetration
E) product development

10. IKEA is a "global home furnishing brand that brings affordability all over the world. IKEA's expansion into China shows that the company is most likely following a _____ strategy.
A) local marketing
B) market development
C) diversification
D) product adaptation
E) product development

11. Starbucks developed Via instant coffee, and it sells its coffees and Tazo teas in K-Cup packs that fit Keurig at-home brewers. This is an example of _____.

A) market penetration
B) product development
C) mass marketing
D) market development
E) product adaptation

12. Which of these statements is the most accurate with respect to consumer behavior?
A) Consumers often don't know what influences their purchases.
B) Consumers understand what motivates them to buy a product.
C) Peer pressure is the primary consumption motivator.
D) Most consumers respond favorably to negative advertising.
E) Learning what makes consumers buy a product is a simple data mining exercise.

13) Which of these elements of consumer buying behavior is the most difficult to measure?
A) whats
B) wheres
C) whens

D) whys
E) whos

14) _____ is the set of basic values, perceptions, and behaviors learned by members of society from their family members and other important institutions.
A) Culture.
B) Socialization
C) Attitude
D) Motivation
E) Lifestyle

15) Family is one of the _____ factors that influence consumer behavior.
A) regional
B) social
C) personal
D) psychological
E) business

16) A shoe manufacturing company uses ads featuring the members of a country music band with the hope that the band's fans will see them wearing the company's shoes and hence purchase the same brand of shoes. The shoe company believes that the band portrays the image of a _____ to the band's fans.
A) membership group
B) reference group
C) status symbol
D) subculture
E) lifestyle

17) _____ consists of evaluating each market segment's attractiveness and selecting one or more segments to enter.
A) Positioning
B) Mass customization
C) Market targeting
D) Market segmentation
E) Differentiation

18) _____ involves dividing a market into smaller segments of buyers with distinct needs, characteristics, or behaviors that might require separate marketing strategies or mixes.
A) Mass customization
B) Market targeting
C) Market segmentation
D) Differentiation
E) Positioning

19) Monica sells handmade jewelry made from recycled products. Her jewelry is unique which makes it easier to sell since none of her competitors have anything similar. What marketing strategy is she pursuing?
A) Value creation
B) Targeting
C) Differentiation

D) Segmentation
E) Positioning

20. True or False: Positioning involves designing the market offering to create superior customer value that differs from the offerings of competitors.

21) When consumers buy an Airstream, the company and its dealers give buyers a warranty and quick repair services when needed. On the Airstream Owners Hub, customers can shop for accessories ranging from an OXO Airstream Drawer Storage Bundle and an Airstream Roof Locker Dish Rack by YouCopia to an Airstream-branded license plate frame and plastic pink flamingos to complete the retro look. In addition, owners can access financial services and learn about the on-the-road lifestyle at the Airstream Academy. This is an example of _____.

A) features
B) core benefits
C) service features
D) an augmented product
E) styling

22) When developing products, marketers first must identify the _____that consumers seek from the product.

A) core customer value
B) accessories
C) style
D) augmented product features
E) customer service benefits

23) Although Peloton's bike prices might seem steep, when customers buy a Peloton, they're getting much more for their money than just a premium home fitness bike. They're buying into an absorbing lifestyle and a closely connected community of like-minded exercise enthusiasts, who ride together through classes on-demand or live-streamed from Peloton's studios to an internet-connected tablet on the bike. This example shows that _____

is NOT the only element in the marketing mix that produces revenue.
A) price
B) product
C) place
D) fixed costs
E) variable costs

24) What sets the ceiling for product prices?
A) product manufacturing costs
B) sellers' perceptions of the product's value
C) customer perceptions of the product's value

D) variable costs
E) break-even volume

25) A company must pay each month's bills for rent, heat, interest on loans, and executive salaries regardless of the company's level of output. Many of these _____costs are classified as overhead costs.
A) variable
B) fixed
C) total
D) breakeven
E) seasonal

26) Which of the following terms refers to the wholesalers and retailers that form a vital link between the firm and its customers?
A) factory-supply networks
B) downstream partners
C) resource banks
D) upstream partners
E) supply channels

27) Ford makes great trucks. But to make and market just one of its many lines−say, its best-selling F-150 truck model−Ford manages a huge network of people within the company, from marketing and sales people to folks in finance and operations. It also coordinates the efforts of thousands of suppliers, dealers, and advertising agencies and other marketing service firms. The entire network must function together to create and deliver customer value and establish the brand's "Built Ford Tough" positioning. This is an example of (a)_____
A) value delivery network
B) make and sell view
C) franchising
D) team approach
E) demand chain

28) The number of intermediary levels indicates the _____of a channel.

A) length
B) vertical conflict
C) conventional distribution
D) corporate VMS
E) disintermediation

29) Pampered Chef, Mary Kay Cosmetics, and Amway sell their products through home and office sales parties and online websites and social media; companies ranging from GEICO insurance to Quicken Loans to Casper Mattress sell to customers via internet, mobile, and telephone channels. These are examples of _____.

A) direct marketing channels

B) indirect marketing channels
C) channels with one or more intermediaries
D) ownership and control of several types of flows
E) producer to business distributor to business customer

30) Which of the following is not one of the promotion mix tools?
A) advertising
B) positioning
C) sales promotion
D) personal selling
E) public relations

31) Extel Inc., a home appliance manufacturer, uses sales representatives to sell its products to wholesalers and individual customers. This is an example of _____.
A) sales promotion
B) personal selling
C) public relations
D) direct and digital marketing
E) advertising

32) True or False: The product design, price, package, and the stores that sell it−*all* communicate something to buyers.

33) Delia's is a clothing retailer that targets teenage girls. The company runs coordinated promotions for its catalogs, Web site, and retail outlets. It uses the same models in its catalog, print ads, and website. Delia's works to make sure its public relations activities as well as its sales promotions harmonize with its advertising in all aspects. From this information, we can infer that Delia's is using _____.
A) buzz marketing
B) experiential marketing
C) integrated marketing communication
D) word-of-mouth marketing
E) database marketing

33) L'Oréal, Hershey, and Unilever increased their digital advertising more than 100 percent over the previous year. In fact, consumer package goods brands are expected to increase their digital advertising spending by more than 50 percent over the next five years. These examples show all of the following EXCEPT that_____
A) have equal portions of the advertising budget
B) advertisers are moving towards a digital approach
C) television advertising has flattened
D) new communication models have emerged
E) ad spending in newspapers has increased

34) An Aleve ad claims: "More pills doesn't mean more pain relief. Aleve has the strength to keep back, body, and arthritis pain away all day with fewer pills than Tylenol." This ad makes a(n) _____appeal.
A) structural
B) rational

C) emotional
D) moral
E) standard

35) A Colgate ad campaign urges people to “Close the tap while brushing” their teeth. One ad shows a young boy in a developing economy with a water bucket atop his head, noting, “What you waste in two minutes is all his family needs for a day.” This is an example of a(n)_____appeal.
A) rational
B) moral
C) social
D) economic
E) financial